



Overview

The Directors of Umeme Limited are pleased to announce the audited financial results for the year ended 31 December 2018.

Operational Results

We are pleased to report the operational results for the year 2018. We remained resilient and focused on the path forward to deliver our mandate as enshrined in the Concession Agreements; to satisfy our customers' needs, meet the expectations of our stakeholders, while achieving sustainable returns to our shareholders.

The year 2018 marked the seventh and final year of our regulatory cycle. The results achieved for the year 2018 affirm our capability and demonstrate the overall improvement in the electricity distribution system in Uganda.

Our performance at a glance

Electricity Sales

3,011 GWh



↑ +9.1%

Energy Losses

Decrease in energy losses



16.6%

Number of Customers

1.3 million
Customers



↑ +14.8%

Electricity Sales

Ushs 1.6 Trillion



↑ +13%

Payments to UETCL

Ushs 1.1 Trillion
(Power purchases)



Taxes Paid to URA

Ushs 135 billion



↑ +88%

(Inc. Corp Tax, VAT, PAYE, WHT, Customs)

EBITDA

Ushs 354 billion



↑ +8.9%

Net Cash flow from Operations

Ushs 395 billion



↑ +31%

Capital Investments

Invested

Ushs 231 billion



Review

of the results for the year ended 31 December 2018

- **Customers** connected to the grid, within the Umeme footprint, increased by 14.8% to 1.3 million compared to 2017. Over the 7 year period to 2018, Umeme exceeded the regulatory customer base target by 0.3 million customers (30%). We acknowledge the need to accelerate the connections rate under the Government's Electricity Connections Policy to achieve the National Development Plans.
- The **energy losses** for 2018 were 16.6% compared to 17.2% for 2017; and were 27.3% in 2011. Over this regulatory cycle, energy losses have reduced by 10.7%.
- Through the introduction of prepaid metering, improvements in quality of service and open platforms for electricity bills payments, the Company achieved an average revenue collection rate of 99% over the seven year cycle. Collection of revenues is critical for the cash flow needs of the entire electricity supply industry, as it ensures that cash flows up throughout the entire electricity supply chain. During the year, Umeme paid US\$1.067 billion to Uganda Electricity Transmission Company (UETCL) for electricity purchases.
- Umeme's **operating cost per customer**, over the last 7 years, has reduced by 30% (in nominal terms). For 2018, the operating cost per customer was US\$174,665 compared to US\$177,092 in 2017. This was achieved through use of technology, roll-out of pre-paid metering, increase in customer connections and efficiency in business operations.
- Umeme continues to focus on improving efficiencies that benefit our customers in the form of reducing energy losses, increasing revenue collections and reducing operating costs. During the year, the Company began a 4 year process of integrating its ICT platforms. Deployment of technology will improve decision making, the internal control environment and drive greater efficiencies at work. During the year, we successfully rolled out the first 2 modules of our new Enterprise system SAP Hana (Financial and Materials Management) on time and on budget.
- On **Safety**, we note with deep regret the increased number of fatal accidents resulting from interference with the electricity distribution network. 39 fatalities were reported during the period related to illegal hooking on the network, power theft, vandalism in house wiring, electrified washing lines and illegal activities along electricity wayleaves corridors. We have scaled up public sensitization on the dangers and responsible use of electricity. Improving safety remains a key priority for the Company in the coming years.

The Electricity Supply Industry

In tandem with Uganda's economic growth, projected at 6.1% in 2018/19, electricity sales (GWh) increased by 9.1% to 3,011 GWh from the 2017 out-turn of 2,760 GWh. The industrial segment recorded an average growth of 12% in 2018. We note the underlying positive economic fundamentals in Uganda and the East African region as the main supporting pillars for industrial demand growth.

Uganda's installed generation capacity is further projected to increase from the current level of 1,167

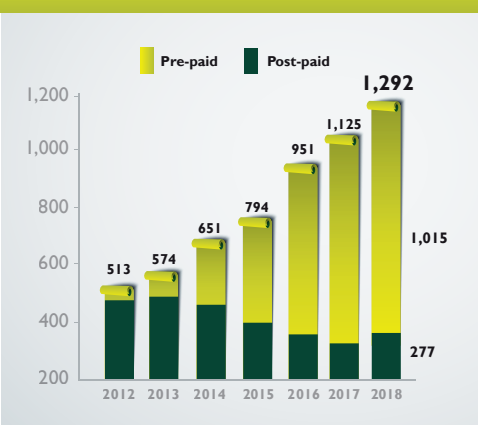
Energy Losses: %



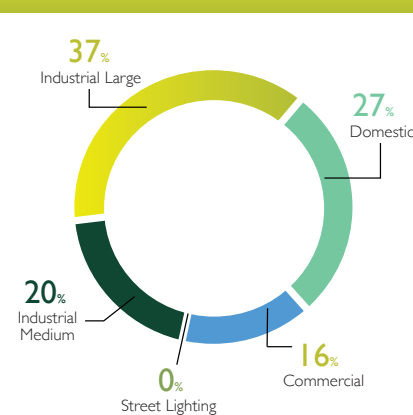
Revenue Collections: %



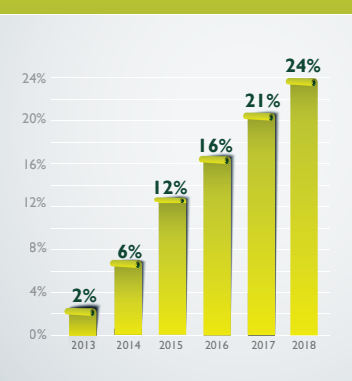
Customer Numbers



Revenue Distribution



Prepaid % of Total Revenue



MW once Karuma HPP Dam (600 MW) is commissioned in December 2019. We congratulate the Government of Uganda for the successful commissioning of Isimba HPP (183 MW) on 21 March 2019.

In November 2018, the Government launched the Electricity Connections Policy, aimed at accelerating grid connections, through subsidization of the last mile capital costs. The Government of Uganda target aims to add at least 300,000 consumers to the grid per annum. Umeme has prioritised the implementation of this programme to increase access and un-lock suppressed electricity demand. Our investment programme is focused on building and strengthening the distribution backbone to cope with the increased grid connections.

During the year, we invested US\$231 billion in the distribution network. A number of projects completed were related to load growth and grid expansion. Umeme is well positioned to implement its long term investment programme in tandem with Government electrification targets.



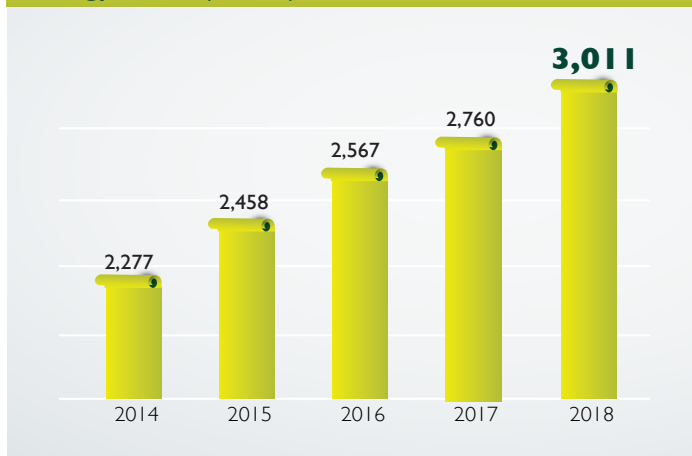
Financial Performance

As a result of our investments strategy and operational performance, we registered growth in financial performance for the year ended 31 December 2018.

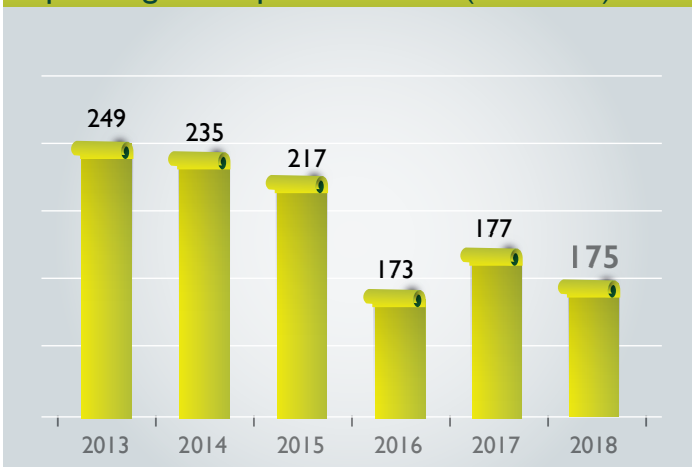
Whereas electricity sales increased by 13% to US\$1,601 billion in the year 2018, net revenues (after adjustments) increased by 0.8% to 1,493 billion in 2018 compared to 2017. The growth in electricity sales was driven by increased demand and tariff applicable during the year.

The operating costs of the business increased by 13% to US\$226 billion in 2018, compared to US\$199 billion in 2017, on account of increased business activities and general inflation adjustments. Due to the prolonged rainy season in the year, we increased the spend on network repairs and maintenance to ensure public safety and supply reliability.

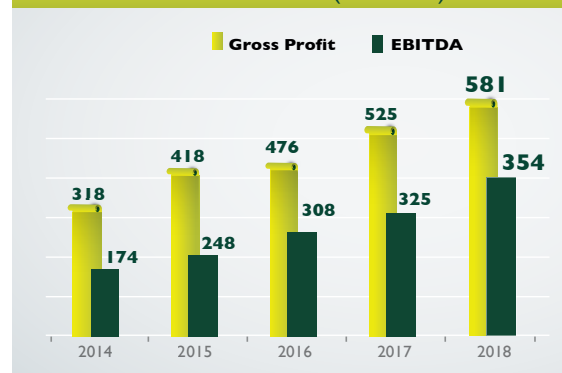
Energy Sales (GWh)



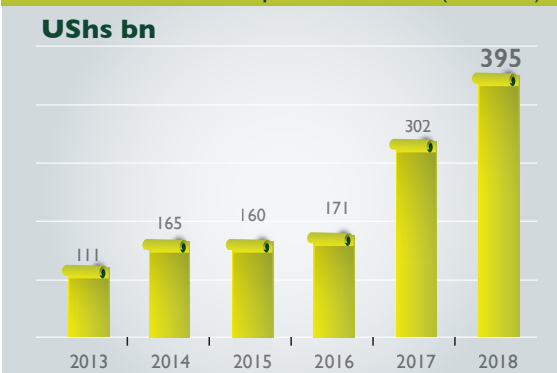
Operating Costs per Customer (US\$'000)



Gross Profit and EBITDA (US\$ bn)



Net Cash Flow from Operations: +31% (US\$ bn)



Electricity Sales (GWh)

Customer Category	2018	2017	Growth (y/y)
Domestic	640.4	625.6	2.4%
Commercial	366.9	341.3	7.5%
Street Lighting	1.1	1.6	-32.9%
Industrial - Medium	477.2	432.3	10.4%
Industrial - Large	793.2	712.2	11.4%
Industrial - Extra Large	732.2	647.1	13.2%
Total	3,011.0	2,760.1	9.1%

Revenue Split (US\$ billion)

Customer Category	2018	2017	Growth (y/y)	% Share
Domestic	438	384	11.5%	26.7%
Commercial	251	215	16.7%	15.7%
Street Lighting	1	1	0%	0.1%
Industrial - Medium	329	283	16.3%	20.5%
Industrial - Large	331	291	13.7%	20.7%
Industrial - Extra Large	261	246	6.1%	16.3%
Total	1,601	1,420	12.7%	100.0%

“... We acknowledge the need to accelerate the connections rate under the Government's Electricity Connections Policy to achieve the National Development Plans.”

EBITDA grew by 9% to US\$ 354 billion in 2018 compared to 2017 (adjusted for the 2017 regulatory write downs) Profit after Tax increased to US\$ 133 billion from US\$ 36 billion of 2017.

Total assets as of 31 December 2018 were US\$ 2,464 billion compared to US\$ 2,349 billion in 2017. Shareholder Equity increased from US\$ 618 billion in 2017 to US\$ 722 billion in 2018. The increase is attributed to profits for the year net of dividends paid during the period.

Net cash flows generated from operating activities increased by 31% to US\$ 395 billion. The funds were used to fund investments in the network and financing commitments of the business.

Dividends

Subject to the approval of the shareholders, the directors recommend to members that a final dividend of US\$ 28.2 per ordinary share be paid for the year ended 31 December 2018 (2017: US\$ 7.6), subject to deduction of withholding tax where applicable, to shareholders registered in the books of the Company at close of business 25 June 2019. An interim dividend for the year of US\$ 12.7 per share was paid in January 2019 (2017: US\$ 0). The total dividend for the year will be US\$ 40.9 per share. If approved, the outstanding dividend will be paid on or about 15 July 2019.

Regulatory Updates

The process of determining and setting the regulatory targets for the period 2019 to 2025 is still on going. The Company shall update the shareholders and stakeholders once finalised and communicated by the Electricity Regulatory Authority (ERA).

The Concession Period

The Company has noted that the Government is amenable to commencing negotiations and discussions on the Umeme Concession extension.

If approved, such extension will enable Umeme to mobilize and deploy long term capital that is necessary to expand the distribution grid and increase uptake of the new generation capacity and support the Government agenda on grid connections and economic growth.

We believe the private sector provides a better platform in electricity distribution and contributes to Uganda's economic growth.

Since the liberalization of the electricity sector in early 2000, Umeme has transformed the electricity distribution system through the investment of more than US\$ 600m, thus; doubling the size of the network infrastructure, connected over 1 million customers to the grid and improved the distribution efficiency from 50% as of 2005 to 86% by 2018.

In accordance with the Company's obligations, shareholders shall be notified of any significant developments arising out of the negotiation process.

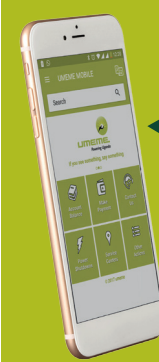
Future Outlook

Investment in infrastructure i.e. roads, rail, energy, airports etc, is a top priority for the Government, in the future development of Uganda. There is a sense of urgency in accelerating investments across the electricity value chain, and particularly in the distribution sub sector to improve reliability, service, grid connections and uptake of new generation capacity.

Umeme is positioned and aligned to support Government in achieving its development agenda.

I take this opportunity to thank the Government, our customers, shareholders and stakeholders for the support and for giving Umeme the opportunity to contribute towards economic growth of Uganda.

To our staff, who are serving our customers and stakeholders 24/7, we thank and appreciate your work, and may you continue to do better.



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Extract

of audited results for the year ended 31 December 2018

Statement of Profit or Loss

	2018 Ushs million	2017 Ushs million
Revenue from contracts with customers	1,493,232	1,485,202
Cost of sales	(912,034)	(960,495)
GROSS PROFIT	581,198	524,707
Repair and maintenance expenses	(45,693)	(37,680)
Administration expenses	(179,941)	(161,600)
Effects of Amendment 5	-	(115,237)
Foreign exchange (losses)/gains	(6,076)	2,401
Other expenses	(1,791)	(706)
PROFIT BEFORE INTEREST, TAX AND AMORTIZATION	347,697	211,885
Amortisation of intangible assets	(103,941)	(99,506)
OPERATING PROFIT	243,756	112,379
Finance income	43,845	29,849
Finance costs	(92,516)	(97,628)
PROFIT BEFORE TAX	195,085	44,600
Income tax	(62,270)	(9,106)
PROFIT FOR THE YEAR	132,815	35,494
	2018 Ushs	2017 Ushs
BASIC AND DILUTED EARNINGS PER SHARE	82	22

Statement of Other Comprehensive Income For the Year Ended 31 December 2018

	2018 Ushs million	2017 Ushs million
Profit for the year	132,815	35,494
Other comprehensive income		
<i>Items not to be reclassified to profit or loss</i>		
Exchange differences on translation from functional currency, net of tax	7,841	(29,434)
Total comprehensive income	140,656	6,060

Statement of Cashflows

	2018 Ushs million	2017 Ushs million
Cash generated from operating activities	477,652	353,148
Interest received from banks	314	481
Interest paid on Loan borrowings	(47,819)	(45,027)
Commitment fees on borrowings	(1,853)	(2,463)
Current income tax paid	(33,081)	(3,735)
Net cash flows from operating activities	395,213	302,404
Investing activities		
Purchase of intangible assets	(230,600)	(236,427)
Net cash flows used in investing activities	(230,600)	(236,427)
Financing activities		
Repayment of principal on term loans	(205,058)	(124,843)
Total proceeds from short term borrowings	-	71,920
Total proceeds from short term revolving facility	109,250	-
Repayment of principal on short term revolving facility	(54,750)	-
Dividends paid	(12,341)	(12,667)
Net cash flows used in financing activities	(162,899)	(65,590)
Net increase in cash and cash equivalents	1,714	387
Cash and cash equivalents at 1 January	(22,240)	(24,955)
Translation differences	1,814	2,328
Cash and cash equivalents at 31 December	(18,712)	(22,240)

Statement of Financial Position

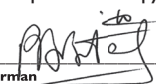
	2018 Ushs million	2017 Ushs million
ASSETS		
Non-current assets		
Intangible assets	1,011,731	1,023,798
Other financial asset	679,017	499,770
Concession arrangement: financial asset	435,291	394,985
	2,126,039	1,918,553
Current assets		
Inventories	64,657	58,490
Contract assets	4,542	12,461
Tax recoverable	18,357	8,123
Trade and other receivables	199,496	317,392
Prepayments	29,344	12,370
Cash and cash equivalents	21,208	22,044
	337,604	430,880
TOTAL ASSETS	2,463,643	2,349,433
EQUITY AND LIABILITIES		
Equity		
Issued capital	27,748	27,748
Share premium	70,292	70,292
Retained earnings	466,348	369,658
Translation reserve	157,812	149,971
	722,200	617,669
Non-current liabilities		
Borrowings	343,200	460,960
Concession obligation	435,291	394,985
Deferred income tax liability	207,372	160,859
	985,863	1,016,804
Current liabilities		
Borrowings	185,335	198,656
Customer security deposits	791	615
Contract liabilities	78,887	37,768
Provisions	30,161	25,088
Long term incentive plan	6,965	-
Trade and other payables	414,312	409,164
Short term borrowing	39,129	43,669
	755,580	714,960
TOTAL EQUITY AND LIABILITIES	2,463,643	2,349,433

Statement of Changes In Equity

	Issued capital Ushs million	Share premium Ushs million	Translation reserve Ushs million	Retained earnings Ushs million	Total Equity Ushs million
At 1 January 2017	27,748	70,292	179,405	346,831	624,276
Profit for the period	-	-	-	35,494	35,494
Other comprehensive loss, net of tax	-	-	(29,434)	-	(29,434)
Total comprehensive income for the year, net of tax	-	-	(29,434)	35,494	6,060
Dividend paid	-	-	-	(12,667)	(12,667)
At 31 December 2017	27,748	70,292	149,971	369,658	617,669
At 1 January 2018	27,748	70,292	149,971	369,658	617,669
Adjustment on initial application of IFRS 9 (net of tax) – note 4(i)	-	-	-	(3,161)	(3,161)
At 1 January 2018 – Restated	27,748	70,292	149,971	366,497	614,508
Profit for the year	-	-	-	132,815	132,815
Other comprehensive income, net of tax	-	-	7,841	-	7,841
Total comprehensive income for the year, net of tax	-	-	7,841	132,815	140,656
Final dividend for 2017	-	-	-	(12,341)	(12,341)
Proposed interim dividend for 2018	-	-	-	(20,623)	(20,623)
At 31 December 2018	27,748	70,292	157,812	466,348	722,200

The above financial statements are extracts from the Company's financial statements which were audited by KPMG, who issued an unqualified audit opinion. A copy of the full financial statements can be obtained at the Umeme Limited Head Office at Rwenzori House, Plot 1 Lumumba Avenue, Kampala, Uganda and on our website www.umeme.ug.

The financial statements were approved by the Board of Directors on 22 March 2019, and were signed on its behalf by:


Chairman


Managing Director